

how to make decision as product manager when you h

As a Product Manager, one of the biggest misconceptions is:

"I need 80-90% certainty before I can make a decision."

In reality, most successful PMs make decisions with **20-40% known facts** and **60-80% uncertainty**.

The goal is not to eliminate uncertainty. The goal is to **reduce uncertainty enough to make the next reversible decision**.

A PM Decision Framework for the "20% Data" Situation

Step 1: Separate What You Know vs. What You Assume

Create two columns:

	≡ Known Facts (20%)	≡ Assumptions (80%)
1	15% of users abandon onboarding	New flow may reduce abandonment
2	Call center receives 500 tickets/month	Feature might lower ticket volume
3	Competitor already offers it	Customers may expect it

Many PMs mistakenly treat assumptions as facts.

Your first job:

"What do we actually know?"

Step 2: Identify the Cost of Being Wrong

Ask:

Option A: We launch and fail

Impact?

Option B: We wait and learn more

Impact?

Example:

	☰ Scenario	☰ Cost
1	Build wrong feature	\$50K
2	Wait 6 months	Lose \$5M opportunity

In this case:

Act now.

Conversely:

	☰ Scenario	☰ Cost
1	Build wrong feature	\$10M
2	Wait 1 month	Minimal

In this case:

Gather more information.

Great PMs optimize for:

Cost of delay vs. Cost of being wrong

Step 3: Determine if the Decision is Reversible

Jeff Bezos popularized this concept.

Type 1 Door (One-Way)

Difficult to reverse.

Examples:

- Core architecture change
- Regulatory commitment
- Migration strategy
- Vendor replacement

Need higher confidence.

Type 2 Door (Two-Way)

Can be reversed.

Examples:

- Pilot
- MVP
- Feature flag
- A/B test
- Beta release

Need lower confidence.

Rule:

The more reversible the decision, the less data you need.

Step 4: Look for Signal, Not Certainty

You don't need perfect evidence.

You need enough evidence.

For example:

- 10 customer interviews
- 3 major clients requesting same capability
- Support ticket trends
- Competitor movement
- Regulatory direction

If all signals point in the same direction, that's often enough.

Think:

"Are the signals aligned?"

not

"Can I prove this mathematically?"

Step 5: Define the Smallest Risky Experiment

Instead of:

"Should we spend \$2M building this?"

Ask:

"How can we learn the most for \$20K?"

Examples:

- Prototype
- Mock UI
- Concierge MVP
- Controlled pilot
- Employee testing
- Single-client rollout

Your objective becomes:

Buy information cheaply.

Step 6: Use Expected Value Thinking

Imagine:

	≡ Outcome	≡ Probability	≡ Value
1	Success	30%	+\$10M
2	Neutral	40%	+\$1M
3	Failure	30%	-\$1M

Expected value:

Plain Text ▾

1 (0.3 × 10M)

2 +

3 (0.4 × 1M)

4 -

5 (0.3 × 1M)

6 =

7 +3.1M

8

Even with only 30% confidence, the decision is still attractive.

A PM's job is not to be right every time.

A PM's job is to maximize expected value over many decisions.

What Senior Product Managers Actually Ask

When uncertainty is high, I use these 5 questions:

1. What's the worst thing that can happen?

If survivable, proceed.

2. Can I reverse the decision later?

If yes, proceed faster.

3. What's the cost of waiting?

Often higher than the cost of being wrong.

4. What assumption scares me the most?

Test that assumption first.

5. What would make me change my mind?

Define this before deciding.

A Rule I Learned From Product Leaders

When you have:

- 20% data
- 80% uncertainty
- Strong strategic alignment
- Limited downside
- Reversible execution

Move forward.

When you have:

- High regulatory risk
- Security implications
- Major platform investment
- Irreversible architecture decisions

Slow down and gather more evidence.

Simple Formula

Decision Quality = Available Facts + Assumption Quality + Learning Speed

Top PMs do not win because they have more data.

They win because they:

1. Clearly identify assumptions.
2. Make reversible bets.
3. Learn faster than competitors.
4. Adjust quickly when new information appears.

In your role as a senior project/product leader, I'd suggest replacing the question:

"Do we have enough data to decide?"

with:

"Do we have enough data to take the next smallest valuable step?"

That's the mindset that allows execution under ambiguity while controlling risk.